



Value of Firm and Principal-Agent Problem

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Goal of Financial Management

- a) Survive (Going Concern)
- b) Avoid financial distress and bankruptcy
- c) Beat the competition
- d) Maximize Sales / Market share
- e) Minimize costs
- f) Maximize profits
- g) Maintain steady earnings growth

Accounting v/s Finance

Definition

Accounting



- ☐ Recording
- ☐ Classifying
- ☐ Reporting past financial transactions

Finance



- ☐ Managing money
- ☐ Investments
- ☐ Planning for the future

Accounting v/s Finance

Focus

Accounting



- ☐ Looks backward
- ☐ Emphasizes historical accuracy and compliance

Finance



- ☐ Looks forward
- ☐ Emphasizes forecasting, decision-making, and value creation.

Accounting v/s Finance

Key Activities

Accounting



- ☐ Bookkeeping
- ☐ Preparing financial statements
- ☐ Tax Compliance
- ☐ Auditing

Finance



- ☐ Capital budgeting
- ☐ Working Capital Management
- ☐ Risk Analysis
- ☐ Valuation

Accounting v/s Finance

Users

Accounting



- ☐ Managers
- ☐ Tax authorities
- ☐ Regulators
- ☐ Auditors

Finance



- ☐ Executives
- ☐ Investors
- ☐ Banks

Accounting v/s Finance

Time Horizon

Accounting



- ☐ Short-term
- ☐ Historical (quarterly/annual)

Finance



- ☐ Medium to long-term
- ☐ Strategic growth & forecasting

Accounting v/s Finance

Tools & Techniques

Accounting



☐ GAAP/IFRS standards

☐ Ratio analysis

Finance



☐ NPV, IRR, CAPM, Portfolio theory

☐ Forecasting models

Role of Corporate Finance in **creating** or **destroying** the firm's value?

- Corporate finance **creates value** when it ensures **capital is allocated efficiently, financing is optimized, risks are managed, and returns are maximized.**
- Corporate finance **destroys value** when **capital is misallocated, governance is weak, risks are unmanaged, or financing decisions increase costs unnecessarily.**

Role of Corporate Finance in **creating** or **destroying** the firm's value?

Attribute	Value Creation	Value Destruction
Investment	Positive NPV, innovation	Negative NPV, misallocation
Financing	Optimal debt–equity, lower WACC	Over-leverage, equity dilution
Dividends	Balanced payout & reinvestment	Overpaying or hoarding cash
Risk Management	Hedging stabilizes flows	Ignored/over-hedged risks
Working Capital	Efficient liquidity management	Poor liquidity, idle funds
Governance	Aligns managers & shareholders	Agency costs, fraud
Strategy	Smart M&A, Innovation	Overpaying, poor integration

Principal-Agent Problem

Attribute	Government	Private	Family-Owned
Ownership	State $\geq 51\%$	Individuals/ Investors	Family Control
Capital	Govt Equity, Budget	Equity, IPO, VC	Family Wealth, Loans
Objectives	Welfare + Profit	Profit + Growth	Legacy + Sustainability
Governance	Bureaucratic	Professional	Family-driven
Transparency	High, regulated	Moderate	Low
Efficiency	Low, slow	High, fast	Moderate
Risk Taking Behaviour	Low	Moderate	Conservative
Succession	Political/ Bureaucratic	Professional/Owner	Within Family

Agency Problem

The Principal-Agent Relationship

- Typically, in a **Corporation / Private** company, there are what are called **agents** (managers) and **principals** (owners/shareholders):
- The **Agent** is the “**person that acts**,” whereas the **Principal** is the person **who receives the benefits from the actions**.
- The **Agency problem** arises when *managers (agents) make decisions that benefit themselves but may not align with the interests of owners/shareholders (principals)*.

Conflicts of Interest between Principal and Agent

- ✓ **Reduced effort** on the part of the **agent**
- ✓ **Excessive perks** consumption
- ✓ **Entrenchment**
- ✓ **Risk avoidance**

Notes: Entrenchment is the firm establishment of an **attitude, habit, or system** so that it **becomes very hard to change**

How Can Organizational Structures Help Mitigate Agency Problems?

1. Clear Governance Structures

- ❑ Establish a **board of directors** with *independent members* to monitor management.
- ❑ Create **specialized committees** (audit, compensation, risk) for oversight.
- ❑ Ensure separation of the **CEO** and **Chairman roles** to avoid concentration of

2. Incentive Alignment

- ❑ Link managerial compensation to **long-term firm performance** (stock options, restricted shares, performance-based bonuses).
- ❑ Use **clawback provisions** to discourage *short-term manipulation*.
- ❑ Tie rewards to metrics like **return on equity** or **customer satisfaction**, not just short-term profits

Note: A clawback provision is a contractual clause that requires a person or company to return money or benefits that were already paid to them if certain negative events happen.

How Can Organizational Structures Help Mitigate Agency Problems?

3. Transparency & Accountability

- ❑ Strengthen **internal controls and reporting systems**.
- ❑ Adopt **regular performance audits** and **transparent disclosures**.
- ❑ Implement **whistleblower mechanisms** to detect misconduct early.

4. Decentralized Structures & Delegation

- ❑ **Empower business units** with **decision-making authority** but hold them accountable for results.
- ❑ Create **profit centers** so managers are judged on the profitability of their divisions.
- ❑ Encourage **cross-functional teams** to reduce information asymmetry

How Can Organizational Structures Help Mitigate Agency Problems?

5. Ownership Structures

- ❑ Encourage **managerial ownership** (managers holding company shares) to align interests.
- ❑ Use **employee stock ownership plans (ESOPs)** to make employees partial owners.

6. Monitoring & Control Mechanisms

- ❑ Strengthen **internal audit functions** and **compliance monitoring**.
- ❑ Encourage **active shareholder engagement** (especially institutional investors).
- ❑ Use **external market controls**: competitive labor markets for managers, and credit rating agencies

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THANK YOU

